

Table 3.1. Federal student aid borrowing limits, 2020

Year	Dependent students	Independent students
First year	\$5,500 overall; \$3,500 subsidized	\$9,500 overall; \$3,500 subsidized
Second year	\$6,500 overall; \$4,500 subsidized	\$10,500 overall; \$4,500 subsidized
Third year and beyond	\$7,500 overall; \$5,500 subsidized	\$12,500 overall; \$5,500 subsidized
Total limit	\$31,000 overall; \$23,000 subsidized	\$57,500 overall; \$23,000 subsidized

Source: Federal Student Aid. Accessed November 24, 2020. <https://studentaid.gov/understand-aid/types/loans/subsidized-unsubsidized>.

As you can see, the loan limits for these federal loans are not very high. For example, in your first year you can only borrow a total of \$5,500 in direct loans, and no more than \$3,500 can be subsidized. So although these are the best loans to take because of their favorable terms, they often do not cover all of your costs.

Parent PLUS and Direct PLUS Loans

Parent PLUS and Direct PLUS loans are also issued by the government, but they function a bit differently. **Parent PLUS loans** allow the parents of the student to take out loans to help pay for their child's educational expenses. Parents take these loans out in their own names; they, not the student, are responsible for paying the money back. **Direct PLUS loans** are for graduate students who are considered independent. There are a couple of important differences between these loans and direct subsidized and unsubsidized loans: